
20.1 INTRODUCTION

The term Foreign Capital is primarily associated with inflow of foreign capital into home country from foreign countries. Spread of globalisation and opening of the economies along with recent technological advances have led to movement of firms from one geography to another, thereby contributing to the economic integration of the world. For any economy, particularly for the developing economy, foreign capital plays a critical role including by (i) bridging investment-saving gap (ii) bridging management, entrepreneurship, technology and skilling gap (iii) bridging foreign exchange gap, (iv) undertaking initial business risks, (v) contributing to development of basic economic infrastructure, (vi) supporting stability of foreign exchange and reducing balance of payment deficit, (vii) facilitating integration with other economies of the world for trade of goods and services and (viii) eventually supporting higher development. Because of these collateral benefits associated with foreign capital, greater use of foreign capital is associated with improved prospects for economic growth.

Foreign capital helps to improve the competitiveness of the domestic economy by breaking domestic monopolies. A healthy competitive environment always pushes firms to continuously enhance their processes and product offerings, thereby fostering innovation. Consumers also gain access to a wider range of competitively priced products.

From the perspective of both governments and businesses, foreign capital has become an important factor in driving economic growth and development. By acquiring a controlling interest in foreign assets, businesses can quickly explore new products, technologies, and markets. Leveraging the foreign capital, governments can create jobs and improve economic growth. Various studies have shown that the growth of developing and emerging economies is being driven by leveraging incoming foreign capital in the form of direct investments. At the same time, firms investing abroad can realise higher growth rates and diversify their income, which creates opportunities for investors.

In this unit we shall discuss these various issues related to the foreign capital.

20.2 TYPES OF FOREIGN CAPITAL

In the broader term, foreign capital can be classified in the following categories:

- 1) Foreign Investment:
 - i) Foreign Direct Investment (FDI)
 - ii) Foreign Portfolio Investment (FPI)
- 2) External Commercial Borrowings (ECB)
- 3) Commercial Deposits by Non-Resident Citizens / NRI Deposits
- 4) External Assistance
 - i) Loans

- ii) Grants
- iii) Debt Service Payment
- iv) Foreign Aid

According to Reserve Bank of India (RBI), foreign investment means any investment made by a person resident outside India on a repatriable basis in capital instruments of an Indian company or to the capital of a limited liability partnership (LLP).

Similarly, Foreign Direct Investment (FDI) is the investment through capital instruments by a person resident outside India (a) in an unlisted Indian company; or (b) in 10 per cent or more of the post issue paid-up equity capital on a fully diluted basis of a listed Indian company. In a broader sense, FDI pertains to international investment in which the investor obtains a lasting interest in an enterprise in another country. More precisely, it may take the form of buying or constructing a factory in a foreign country or adding improvements to such a facility, in the form of property, plants, or equipment. FDI is calculated to include all kinds of capital contributions, such as the purchases of stocks, as well as the reinvestment of earnings by a wholly owned company incorporated abroad (subsidiary), and the lending of funds to a foreign subsidiary or branch. The reinvestment of earnings and transfer of assets between a parent company and its subsidiary often constitutes a significant part of FDI calculations.

RBI describes Foreign Portfolio Investment (FPI) as any investment made by a person resident outside India in capital instruments where such investment is (a) less than 10 per cent of the post issue paid-up equity capital on a fully diluted basis of a listed Indian company or (b) less than 10 per cent of the paid-up value of each series of capital instruments of a listed Indian company. Broadly speaking, FPI is a category of investment instruments that is more easily traded, may be less permanent, and do not represent a controlling stake in an enterprise. These include investments via equity instruments (stocks) or debt (bonds) of a foreign enterprise e.g. Foreign Institutional Investors, which does not necessarily represent a long-term interest.

While FDI tends to be commonly undertaken by multinational corporations, FPI comes from many diverse sources such as a small company's pension or through mutual funds held by individuals. The returns that an investor acquires on FPI usually take the form of interest payments or dividends. Investments in FPI that are made for less than one year are distinguished as short-term portfolio flows.

Calculations of FDI and FPI are typically measured as either a "flow", referring to the amount of investment made in one year, or as "stock", measuring the total accumulated investment at the end of that year.

As per framework introduced by RBI, External Commercial Borrowings (ECBs)¹ are commercial loans raised by eligible resident entities from

¹Master Direction - External Commercial Borrowings, Trade Credits and Structured Obligations, FED Master Direction No.5/2018-19, Reserve Bank of India

recognised non-resident entities and should conform to parameters such as minimum maturity, permitted and non-permitted end-uses, maximum all-in-cost ceiling, etc. The parameters apply in totality and not on a stand alone basis. RBI further prescribes the framework for raising loans through ECB. The ECB Framework enables permitted resident entities to borrow from recognised non-resident entities in the following forms:

- i) Loans including bank loans;
- ii) Securitised instruments (e.g. floating rate notes and fixed rate bonds, non-convertible, optionally convertible or partially convertible preference shares / debentures);
- iii) Buyers' credit;
- iv) Suppliers' credit;
- v) Foreign Currency Convertible Bonds (FCCBs);
- vi) Financial Lease; and
- vii) Foreign Currency Exchangeable Bonds (FCEBs)

However, ECB framework is not applicable in respect of the investment in Non-convertible Debentures (NCDs) in India made by Registered Foreign Portfolio Investors (RFPIs).

Commercial loans, which primarily take the form of bank loans issued to foreign businesses or governments. External Assistance to India denotes multilateral and bilateral loans received under the agreements between Government of India and other Governments/International institutions and repayments of such loans by India, except loan repayment to erstwhile "Rupee area" countries that are covered under the Rupee Debt Service. This also include Official Development Assistance (ODA), received by the country from donor countries and International organisations e.g. UNO, World Bank etc. The main objective of such aid is to promote the economic development of the recipient countries.

20.3 FOREIGN INVESTMENT IN INDIA

20.3.1 Trends and Magnitude of FDI

At the time of opening of the Indian economy in 1991, foreign investment, was small, a total of just \$103 million. With the opening up of the economy, it grew substantially and in 2006-07 reached \$29.2 billion. In recent years, FDI trend in Indian Economy is moving in upward direction that too rapidly. FDI has emerged as the predominant source of external financing. The attractiveness of India as a preferred investment destination could be ascertained from the large increase in gross and net FDI inflows to India. Gross inflow of foreign investment in India grew from \$4.03 billion in 2000-01 to \$74.39 billion in 2019-20. In terms of net inflow of FDI to India (inflow less outflow from India), this figure has grown from \$3.27 billion in 2000-01 to \$43.01 billion in 2019-20. FDI inflows have continued to be buoyant in 2019-20. In both gross and net terms, FDI flows in 2019-20 were

\$74.4 billion and 43.0 billion respectively, well above their respective levels in 2018-19. The significant increase in FDI inflows to India reflected the impact of liberalisation of the economy since the early 1990s as well as gradual opening up of the capital account. As part of the capital account liberalisation, FDI was gradually allowed in almost all sectors, except a few on grounds of strategic considerations, subject to compliance of sector specific rules and regulations.

During the global financial crisis, when there was a significant deceleration in global FDI flows the decline in FDI flows in 2009-10 to India was relatively moderate on the back of strong rebound in domestic growth. However, in subsequent year of 2010-11, gross FDI equity inflows to India witnessed significant moderation. After the launch of Make in India in September 2014, the trends in FDI have improved, showing a positive impact on the foreign investors due to investor friendly signals from India. India has jumped from 15th position in 2014 to 10th position in 2015 in the most trusted nations for FDI. According to World Investment Report 2020, published by UNCTAD, despite a slowdown in the global economy and growing global investment concerns due to disruptions in supply chains, India was able to sustain the pace of FDI in 2019-20 and was the 9th largest recipient country globally in 2019. Economic Survey 2019-20 pointed out that continuous liberalisation of FDI guidelines has been responsible for rising in flows of foreign investment into the country.

Trends in Foreign Portfolio Investment (FPI)

Foreign Portfolio Investment (FPI) is the entry of funds into a country where foreigners deposit money in a country's bank or make purchases in the country's stock and bond markets, sometimes for speculation. Portfolio investments mainly include investment by foreign institutional investors (FIIs), funds raised through of American Depository Receipts (ADRs) or Global Depository Receipts (GDRs) by Indian companies and through offshore funds. An increase in FPI flows improves the Balance of Payment (BoP) position and arises on account of cross-border transactions involving debt or equity securities, other than those included in direct investment or reserve assets. However, FPI is often referred to as "hot money" because of its tendency to flee at the first signs of trouble in an economy or improvement in investment attractiveness elsewhere in the world, particularly in the US, at the hands of the Federal Reserve.

The Indian rules for foreign portfolio investments (FPIs) have undergone several regulatory changes designed to ease investment in the last few years. FPIs primarily consist of securities and other financial assets passively held by foreign investors, generally for short-term speculation. Foreign portfolio investment differs from foreign direct investment in that it does not give the investor direct ownership of financial assets.

FPIs in India have been volatile over the years. In 2008-09, 2015-16 and 2018-19, there was a net portfolio outflow from the country that was seen as weakening of confidence of investors in India's economy.

The net portfolio out flow in 2008-09 was \$14.03 billion. This is when the financial crisis hit the developed economies, and many financial institutions would have withdrawn investments from India and other developing countries, in order to strengthen their balance sheets at home. In 2015-16 foreign portfolio flows, remain vulnerable to bouts of global risk aversion which resulted in outflow to the tune of \$4.13 billion. Similarly, in 2018-19, there was a net portfolio outflow of \$0.62 billion from the country that was seen as weakening of confidence of investors in India's economy.

Trends in External Assistance to India

External assistance is composed of loans and grants. External assistance by India - denotes aid extended by India to other foreign Governments under various agreements and repayment of such loans. External Assistance to India denotes multilateral and bilateral loans received under the agreements between Government of India and other Governments/International institutions and repayments of such loans by India, except loan repayment to erstwhile Rupee area countries that are covered under the Rupee Debt Service. However, most of the assistance in the initial periods of planning were in the form of interest-bearing loans, while only a fraction was in the form of outright grants. According to a position paper published by Department of Economic Affairs, Ministry of Finance, Government of India in March 2008.

“As per the extant policy, Government of India does not accept aid in areas where it has substantial control. While bilateral aid is accepted only from G-8 countries, the Russian Federation, and the EC, tied aid is not accepted at all. Channelisation of external assistance from smaller partners (other than those mentioned above), is only through multilateral organisations to promote greater aid harmonisation. Further, all countries can provide bilateral development assistance directly to autonomous institutions, universities, NGOs, etc through a simplified procedure. Directing of external assistance of smaller size towards the non-government sector allows this sector to remain an effective channel for implementation of development programmes and strengthens the civil society”.

Net Inflow of external assistance reached an all-time high of \$4.72 billion in 2010-11 and a record low of \$-3.33 billion in 2003-04 (Table 20.3 in Appendix 20.2).

Trends in NRI Deposits / Outstanding

NRI deposits were first introduced in February 1970. The initial scheme was a rupee denominated account, the Non-resident (External) Rupee Account (NRE), with repatriable principal and interest. In November 1975, a foreign currency denominated deposit facility, the Foreign Currency Non-resident Account (FCNRA) was added. This deposit was also repatriable and was made attractive to the banks through the RBI assuming the exchange rate risk. Currently, there are three kinds of deposit accounts of Indian banks where NRIs or PIOs (persons of Indian origin) can park their funds - NRE (non-resident external-rupee account), NRO (non-resident ordinary rupee account) and FCNR(B) (foreign currency non-resident bank account).

Deposits in NRE accounts are freely repatriable unlike NRO accounts. Both NRE and NRO accounts are rupee denominated. FCNR(B) are foreign currency accounts - dollar, euro, and pound sterling accounts.

Notwithstanding positive accretions of deposits under Non-Resident (External) Rupee (NRE) accounts; and Non-Resident Ordinary (NRO) accounts, there was a net outflow of US\$12.4 billion from non-resident deposits during 2016-17, following a lumpy redemption of FCNR(B) deposits raised by banks under the Reserve Bank's special swap window during September to November 2013.

Net flows into non-resident deposit account declined by 17 per cent in 2019-20 as deposits under the Non-Resident (External) Rupee (NRE) accounts, which accounted for the bulk of the inflows declined sharply. Softening of term deposit rates and expectations of further depreciation of rupee amidst global uncertainties partly moderated flows into this account. Among the other two accounts, deposits in Non-Resident Ordinary Rupee (NRO) accounts and the Foreign Currency Non-Resident (Banks) [FCNR (B)] accounts remained at the previous year's level

20.3.2 Sectoral Distribution of FDI

Sectoral Distribution of Equity FDI Inflows to India

From a sectoral perspective, FDI² in India mainly flowed into services sector (with a cumulative total of \$132.8 billion — 69.5 per cent of total equity FDI flow in the past five years from 2015-16 to 2019-20) followed by manufacturing, \$43.5 billion (around 22.83 per cent during) the same period. Share of service in total equity FDI inflow to India increased from 62.6 percent (\$22.6 billion) in 2015-16 to 77.8 per cent (28.3 billion) in 2017-18 and then declined to 74.2 per cent in 2019-20 (\$31.6 billion). Within manufacturing sector, automobile, chemicals (other than fertilizers) and drugs & pharmaceuticals are the main sectors responsible for significant FDI.

The Service sector in India includes Financial, Banking, Insurance, Non-Financial/Business, Outsourcing, Research and Development (R&D), Courier, Tech, Testing and Analysis services. Within services, the top three sectors which witnessed highest cumulative inflows of FDI during past five years from 2015-16 to 2019-20 include communication services (\$29.5 billion), financial services (\$22.0 billion) and retail and wholesale trade (\$20.5 billion).

The rise in FDI flows to India has been accompanied by strong regional concentration. As per the data released by Department for Promotion of Industry and Internal Trade (DPIIT)³, the top six states, viz., Maharashtra (30.35 per cent), Karnataka (17.92 per cent), Delhi (16.6 per cent) Gujarat

²in equity through SIA/FIPB and RBI routes only and excluding acquisition of shares and equity capital of unincorporated bodies, as per Reserve Bank of India.

³https://dipp.gov.in/sites/default/files/FDI_Factsheet_March20_28May_2020.pdf

(11.05 per cent), Jharkhand (7.7 per cent) and Tamil Nadu (4.21 per cent) accounted for over 80 per cent of the FDI equity flows to India between October 2019 to March 2020. The top two states, i.e., Maharashtra and Karnataka accounted for over 45 per cent of FDI flows during this period. Maharashtra alone accounted for over 30 per cent of FDI flows to India during the same period.

Despite impressive growth rates achieved by most of the Indian states as well as aggressive investment promotion policies pursued by various state governments, the concentration of FDI flows across a few Indian states continues to exist.

20.3.3 Countries of Origin of FDI in India

Countries of Origin of FDI Equity Inflows to India

Singapore and Mauritius remained the major source countries, accounting for about 50 per cent of cumulative equity FDI flows during past five years from 2015-16 to 2019-20, followed by the Netherlands (8.4%), the US (7.6%), Japan (6.5%) and the Cayman Islands (3.1%).

During 2019-20, India received the maximum FDI equity inflow from Singapore (US\$ 12.6 billion), followed by Mauritius (US\$ 7.5 billion), Netherlands (US\$ 5.3 billion), Cayman Islands (US \$3.5 billion), USA (US\$ 3.4 billion) and Japan (US\$ 2.3 billion).

20.3.4 Evolution of Inward Foreign Capital Policy

The Indian growth story in the last three decades is a story of constant renewal and finding new purpose to meet the goals and aspirations of a billion people. The Indian economy has evolved and made significant progress from a closed economy until the 1990s to a vibrant economy of today. India's policy on investment by foreign capital can also be divided into two phases, pre- and post-1991. There has been a sea change in India's approach to foreign investment from the early 1990s when it began structural economic reforms encompassing almost all the sectors of the economy.

Pre-Liberalisation Period (Pre-1991 Period)

Historically, an extremely cautious and selective approach was followed by India while formulating Foreign Capital Policy. Import-substitution strategy was preferred in implementing industrialisation framework. Protecting and nurturing domestic industries was the primary goal. FDI through foreign collaboration was welcomed in the areas of high technology and high priorities to build national capability and discouraged in low technology areas. The regulatory framework was driven by the enactment of Foreign Exchange Regulation Act (FERA), 1973. Foreign equity holding in a joint venture was allowed only up to 40 per cent. Subsequently, various exemptions were extended to foreign companies engaged in export-oriented businesses and high technology and high priority areas including allowing equity holdings of over 40 per cent. As India continued to be highly

protective, these measures did not add substantially to export competitiveness. Recognising these limitations, partial liberalisation in the trade and investment policy was introduced in the 1980s with the objective of enhancing export competitiveness, modernisation, and marketing of exports through Trans-national Corporations (TNCs). The announcements of Industrial Policy (1980 and 1982) and Technology Policy (1983) attempted for a liberal attitude towards foreign investments in terms of changes in policy directions. The policy was characterised by de-licensing of some of the industrial rules and promotion of Indian manufacturing exports as well as emphasising on modernisation of industries through liberalised imports of capital goods and technology. This was supported by trade liberalisation measures in the form of tariff reduction and shifting of large number of items from import licensing to Open General Licensing (OGL).

Post-Liberalisation Period (Post 1991 Period)

Major shift occurred when India embarked upon economic liberalisation and reforms programme in 1991 aiming to raise its growth potential and integrating with the world economy. Industrial policy reforms gradually removed restrictions on investment projects and business expansion on the one hand and allowed increased access to foreign technology and funding on the other. A series of measures that were directed towards liberalising foreign investment included: (i) introduction of dual route of approval of FDI— RBI's automatic route and Government's approval (SIA/FIPB) route, (ii) automatic permission for technology agreements in high priority industries and removal of restriction of FDI in low technology areas as well as liberalisation of technology imports, (iii) permission to Non-resident Indians (NRIs) and Overseas Corporate Bodies (OCBs) to invest up to 100 per cent in high priorities sectors, (iv) hike in the foreign equity participation limits to 51 per cent for existing companies and liberalisation of the use of foreign "brands name" and (v) signing the Convention of Multilateral Investment Guarantee Agency (MIGA) for protection of foreign investments. These efforts were boosted by the enactment of Foreign Exchange Management Act (FEMA), 1999 [that replaced the Foreign Exchange Regulation Act (FERA), 1973] which was less stringent. This along with the sequential financial sector reforms paved way for greater capital account liberalisation in India. Table 20.1 summarises the evolutionary phases of India's inward FDI policy regime.

Table 20.1: Evolution of India's Inward FDI Policy

Policy Phase / Period	Salient Features of Inward FDI Policy
After Independence	• India's policy with regard to foreign capital was formulated, for the first time, in the Industrial Policy Resolution of April 1948. • The government recognised participation of foreign capital and enterprise, particularly as regards to industrial technique and knowledge for rapid industrialisation of the economy. • There were no restrictions on the 100 per cent ownership of Indian subsidiaries, but the authorities exerted informed pressure on foreign companies to sell part of their equity to local investors. • The policy environment was sufficiently unpredictable to discourage new entrants into India.
During 1960-1980s	• FDI policy of India was more restrictive due to the need to develop local industries. • No FDI was allowed without transfer of technology. • Renewals of foreign collaborations were restricted. • Foreign Exchange Regulation Act, 1973 was restricted to FDI in certain core or high priority industries. • Equity participation was restricted to 40 per cent. • FDI regime was characterised by a cautious welcome to foreign investments meaning retaining majority domestic ownership and effective control in foreign enterprises. • Inward-looking, import substitution strategy of economic development began, quota, permit, and license regime prevailed all the way and was guided and controlled by the bureaucracy. • Development pattern was characterised by strong centralised pharming, government ownership of basic and key industries, excessive regulation and control of private enterprise, trade protectionism through tariff and non-tariff barriers.
1980s to 1990s	• Attitude towards FDI was liberalised as a part of the industrial policy resolutions. • Inward looking regulatory regime continued until the early 1980s. • Government of India introduced a series of measures through 1985-industrial policy, to reduce control on industries, particularly large ones.
Since 1991	• Government started the process of liberalisation of FDI policy in July 1991; the first-generation reforms created conducive environment for foreign investment in India. Foreign investment and

technology collaboration was welcomed to obtain higher technology, to increase exports and to expand the production base.

- Foreign Exchange Regulation Act (FERA), 1973 was replaced with Foreign Exchange Management Act, 1999 (FEMA).
- Licensing and permit quota regime were eliminated, and firms in all but a few sectors were allowed to start operations without government approval.
- Automatic route for FDI is permitted.
- Except for certain specified activities, no prior approval from exchange control authorities i.e., Reserve Bank of India is required.
- Many new sectors were thrown open for FDI.
- Eventually, FDI was permitted in virtually every sector, except those of strategic concern such as defence and transport.
- Approval mechanism for FDI was made simpler and transparent.
- Two approval routes i.e., automatic route and Foreign Investment Promotion Board (FIPB) route was introduced.
- Capital account restrictions were eased to allow Indian companies to raise capital abroad, by way of Eurobonds and GDR/ADRs.
- Foreign companies were permitted to set up 100 per cent subsidiaries in India.
- Focus shifted to opening of infrastructure, insurance and service sector, liberalising royalty payment regime and permitting royalty on trademarks and brand names.
- Foreign equity was permitted up to 100 per cent in roads, ports, harbours, bridges, and highways in 1999.
- In the year 2000, a paradigm shift occurred, wherein, except for a negative list, all the remaining activities were placed under the automatic route.
- From 2014 onwards, FDI regime was further liberalised in the sectors like defence, mining, insurance, pensions e-commerce, retail, and media etc.

Source: Compiled from various reports published by RBI, Ministry of Finance

20.3.5 Key Measures Taken by India to Attract FDI

Advantage India: Key Facts

- i) India has the world's most liberal FDI rules with sectors like insurance, defence, single brand retail, food processing, smart cities and space technology opening up for foreign investment.